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AI Vendor Due Diligence Checklist

A practical checklist for leaders evaluating copilots, agent platforms, document AI, or workflow tools with AI built in.

Use this before you approve a pilot, sign a contract, or route a live workflow through an AI vendor.

The goal is not to reward the strongest demo. The goal is to decide whether the workflow improves without adding hidden review cost, governance risk, or fragile dependency.

1. Start with the commercial problem

- What decision or workflow should improve?
- What is broken today?
- What measurable business outcome would justify funding?
- Who owns the result after go-live?

2. Ask what the product really is

- Is it a fine-tuned model, retrieval layer, orchestration layer, or a thin API wrapper?
- Which parts are genuine vendor IP versus repackaged third-party capability?
- How defensible is the product if the underlying model provider changes terms or pricing?

3. Force the data-flow conversation early

- Where do inputs, prompts, outputs, and logs actually go?
- Which subprocessors or third-party model providers receive the data?
- Is any content retained, reviewed, or used for training?
- Who can access those logs internally and externally?

4. Check permissions and failure modes

- Does the system respect document-level permissions and role boundaries?
- What happens when confidence is low?
- Does it abstain, escalate, or invent?
- Can bad outputs be audited after an incident?

5. Model the real cost

- How does cost scale with production volume, retries, long context windows, and document size?
- How much human review remains after the AI step?
- What monitoring, prompt maintenance, or support burden sits behind the licence line?

6. Separate build-vs-buy from vendor-vs-vendor

- Should the workflow live in off-the-shelf software at all?
- Would a lighter internal workflow create better control using the OpenAI API or another model provider?
- Is the workflow stable enough to automate seriously yet?

7. End with a go / no-go gate

- Proceed now
- Proceed with controls
- Run a contained pilot first
- Re-scope the workflow before buying
- Reject

Trust block

Jason Rae's software diligence work is independent. No vendor commissions, reseller fees, or referral kickbacks are accepted. The review standard is grounded in DACH / EU commercial reality, governance, data handling, failure paths, and operating burden rather than vendor theatre.

This downloadable version supports internal procurement and leadership review. For the public explainer and related links, use the main guide at jasonrae.ai/blog/ai-vendor-due-diligence-checklist.html.